

09 January Mitigation and Updated Forecast

Document YETI-09 | Available 2027-02-12
Prepared by Fictional borrower finance team

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Period and delivery

January 2027 results, finalized February 10 and delivered February 12 at 10 am New York time. Version 1.0 remains operative. No amendment or waiver is adopted. Earlier measurements stay in history.

January observations

USD millions except members and percentages.

Measure	January
Net sales	20.000000
Landed cost of goods sold	12.400000
Gross margin	38.00%
Inventory purchases received and paid	11.000000
Customer cash collections	21.000000
Other operating expense	5.100000
EBITDA	2.500000
Closing trade receivables	11.000000
Closing inventory	30.650000
Interest paid	0.375000
Estimated cash tax paid	0.556250
Capital expenditure	0.600000
Opening Unrestricted Cash	9.806250
Closing Unrestricted Cash	13.175000

Total bank cash is \$15.175000m, including the same restricted reserve. Debt remains \$50.0000m. Interest was paid January 29. Cash-tax installments and capital expenditure are included above. The receivables and inventory definitions have not changed.

Verified actions and covenant record

The lender delivered a written C01 failure notice on January 21, 2027. The January 31 bank statement shows total cash of \$15.175m, including the unchanged \$2m reserve. A certified eligible balance of \$13.175m was delivered February 2. On February 3 the lender acknowledged cure under C09 before the ten-Business-Day period expired. This acknowledgment is not a waiver of December's failed measurement and does not change C01. No Event of Default arose from this noticed failure before the recorded cure.

January purchases fell to \$11m while COGS was \$12.4m, reducing inventory by \$1.4m. Customer receipts of \$21m include \$1m net reduction of prior receivables. No equity injection, new borrowing or supplier liability forgiveness funded the cash recovery.

Revised forecast bridge

The April 2 estimate rises from \$7.8m to \$14.2m. The \$6.4m change is \$2.4m of supplier-approved rescheduling, \$3m lower inventory procurement and \$1m higher net customer collections. Each category includes its effect on the latest actual starting cash; do not add January's recovery again. Supplier confirmation dated February 4 moves \$2.4m previously due in March to April 30. It remains payable and is included in the April 30 forecast below. The procurement change cancels uncommitted replenishment orders, with no termination penalty. No realized EBITDA gain is attributed to merely postponing a payment.

Updated thirteen-week forecast

Week ending	Revised forecast cash in USD millions
2027-02-19	13.400000
2027-02-26	13.800000
2027-03-05	14.000000
2027-03-12	14.100000
2027-03-19	14.300000
2027-03-26	14.400000
2027-04-02	14.200000
2027-04-09	14.600000
2027-04-16	15.000000
2027-04-23	15.400000
2027-04-30	15.700000
2027-05-07	16.000000
2027-05-14	16.300000

Projected weeks remain below the \$16m trigger. C05 reporting therefore continues, even though the cash-failure cure is recorded. Friday updates dated January 22, January 29 and February 5 were delivered on time. February 12 is the next refresh. No distribution, new borrowed money or restricted expansion commitment was entered. The lender must assess observed improvements, future estimates and remaining obligations separately.